



Agilent Technologies Fourth Quarter Fiscal 2023 Conference Call Prepared Remarks

Parmeet Ahuja

Thank you Beau, and welcome everyone to Agilent's Conference Call for the fourth quarter of Fiscal Year 2023. With me are Mike McMullen, Agilent president and CEO, and Bob McMahon, Agilent senior vice president and CFO.

This presentation is being webcast live. The news release for our fourth quarter financial results, investor presentation and information to supplement today's discussion, along with a recording of this webcast, are available on our website at www.investor.agilent.com.

Today's comments by Mike and Bob will refer to non-GAAP financial measures. You'll find the most directly comparable GAAP financial metrics and reconciliations on our website.

Unless otherwise noted, all references to increases or decreases in financial metrics are year-over-year and references to revenue growth are on a core basis. Core revenue growth excludes the impact of currency, and any acquisitions and divestitures completed within the past 12 months. Guidance is based on forecasted exchange rates.

We will also make forward-looking statements about the financial performance of the company. These statements are subject to risks and uncertainties and are only valid as of today. The company assumes no obligation to update them. Please look at the company's recent SEC filings for a more complete picture of our risks and other factors.

And now, I'd like to turn the call over to Mike.

Mike McMullen

Thanks, Parmeet. And thanks everyone for joining our call today.

Before we get into discussing our results and outlook, I want to mention that we are joined today by Pdraig McDonnell, president of the Agilent CrossLab Group and Sam Raha, president of the Agilent Diagnostics and Genomics Group. We are also joined on this call for the first time by Phil Binns, president of the Agilent Life Sciences and Applied Markets Group.

Phil's name may be new to some of you, but he's well-known at Agilent and in the industry. Phil has been with us for more than 13 years, coming over with the Varian acquisition and overseeing our market leading spectroscopy business. We're extremely pleased to have someone with Phil's knowledge, experience and proven leadership strength heading up our LSAG business. In his short time in the role, we've already seen Phil add tremendous value as a member of our senior leadership team. Welcome, Phil.

Now onto our fourth quarter results. The Agilent team once again continued to perform well under challenging market conditions.

Revenue of 1.69 billion dollars declined 9.7 percent core after increasing 17.5 percent last year. This is at the high end of our guidance.

Our proactive approach to managing our cost structure in this market environment helped us deliver healthy fourth quarter operating margins of 27.8 percent.

Q4 Earnings per share of \$1.38 exceeded our guidance. While this was a decline of 10 percent, it comes against a tough compare last year when EPS grew 26 percent.

While the market continues to be challenging, we believe we are starting to see signs of stabilization. As an encouraging data point, for the quarter our book-to-bill ratio was 1 for the company and greater than 1 for our LSAG instruments.

Let's take a closer look at our Q4 performance, starting with our regional results.

During the quarter, while down year-on-year, we delivered sequential growth except for China, as expected.

In China, our business declined 31 percent year-on-year after growing 44 percent in Q4 last year. While China was down sequentially, these results were very much in line with our expectations. And the year-on-year monthly performance improved slightly as the quarter progressed. In addition, orders were slightly higher than revenue for the quarter.

While it is too early to call these two data points a trend, we see this as an encouraging sign of potential stabilization.

In late September, I traveled to China for the first time since the COVID outbreak to meet with the Agilent team, key customers, and government officials. I was reminded of both the sheer size of the Chinese economy and our market there. I saw first-hand the work being done to bolster economic activity in the near-term and create an environment that will support continued growth into the future.

I remain convinced China will continue to play an important role in life sciences and I'm confident that the China market will return to growth.

In looking at our largest end market, **pharma** declined 14 percent driven by continued caution among customers on capital expenditures for new instruments. Within pharma, biopharma performed better than small molecule. Geographically, our biopharma business outside of China grew high-single digits.

Looking at our performance by business unit, the **Life Sciences and Applied Markets Group** delivered revenue of 928 million dollars, down 18 percent core versus a tough compare last year of up 22 percent.

Customers continue to hold off on capital expenditures, particularly in the pharma segment of LSAG's business, which declined in the high 20 percent range. This is against growth in the low 20s last year.

On the other hand, we continue to see strong customer demand and growth in our PFAS solutions – as well as continued strength in the advanced materials segment. These are two secular trends we've highlighted before and we remain optimistic about future growth in these market segments.

While the market environment remains challenged, we continue to innovate and provide unique solutions for our customers. The new products we launched in June at ASMS, in particular the 6595 LC triple quad, which is focused on key applications like PFAS, continue to generate positive customer interest and new orders.

We're also bringing innovative new solutions for customers across the biopharma value chain. We have installed a number of our online UHPLC systems with large biopharma companies. The systems are easy-to-use, reliable, and deliver

significant value by providing fully automated analysis of critical quality attributes and allowing real time decision making outside the lab.

The **Agilent CrossLab Group** posted revenue of 404 million dollars, up 4 percent core and 6 percent on a reported basis. ACG delivered growth across all end-markets, and in all regions except China. The contract services business was up double-digits, offset by the services associated with new instrument placements.

Our strategy of increasing the connect rate continues to pay off. In the quarter, the contract services business represented 65 percent of ACG revenue – a number that has grown nicely over the years.

The **Diagnostics and Genomics Group** delivered revenue of 356 million dollars, flat on a core basis and up 1 percent reported.

DGG's results were led by the pathology and NASD businesses, which both delivered low double-digit growth. These strong results were offset by the continued market challenges in genomics in both consumables and instruments. Our NASD portfolio and capacity expansion are continuing as planned. We're confident in the long-term growth prospects for the markets we serve.

Before I finish covering DGG, I want to thank Sam Raha for his contributions over the years and for helping us build a strong foundation for the DGG business. I wish Sam well.

In addition to these business group highlights, during the quarter we were recognized for our commitment to sustainability. Agilent's near and long-term targets for reaching net-zero greenhouse gas emissions have been approved by the highly regarded Science Based Targets initiative.

A year ago, we entered 2023 sharing a view of economic and industry uncertainty, as we guided for moderating growth in the second half of 2023. We had not anticipated, however, the significance of the market headwinds the industry eventually faced, particularly in the pharma market and China.

Despite the challenging market conditions, we delivered full year revenue of 6.83 billion dollars, growing 1.5 percent core. While our full-year growth was lower than initially expected, we met or exceeded every quarterly guidance range we provided, a solid testament to the team's execution ability.

Including FY23 results, our 4-year compound annual growth rate is 7 percent. This is at the high end of our long-term growth guidance.

In FY23, we delivered operating margins of 27.4 percent. This is up 30 basis points this year and up more than 400 basis points in the last four years. Earnings per share of \$5.44 are up 4 percent, delivering leveraged earnings growth for the year. Our 4-year compound annual growth rate for EPS is 15 percent.

Looking back, 2023 was a challenging year. What I'm particularly proud of is the Agilent team's ability to quickly pivot and take action to address these challenges while staying relentlessly focused on our customers. While we've worked to significantly reduce expenses, Agilent's customer satisfaction ratings remain at all-time highs. At the same time, our employee engagement continues to be excellent as we achieved a number of best employer awards over the last year. All of this helped us deliver another year of leveraged earnings in an extremely difficult market environment.

Before turning it over to Bob for more details, I want to provide some high-level perspective on FY24 and beyond.

For 2024, we anticipate a slow, but steady recovery, throughout the year. In our initial outlook, at the high end of our guidance we expect revenues to return to growth. At the same time, our range for EPS in the year ahead has us again delivering leveraged EPS growth.

As we look ahead, we remain convinced the market challenges being faced by the industry today are transient. Our end markets are powered by investments in improving the human condition. The pace of science, innovation and discovery continues to increase, which will fuel further growth.

We remain focused on winning in the marketplace. Our differentiated products, services and most importantly our One Agilent team, are all essential to the success of our customers. We are well-positioned for long-term growth.

Bob will now share more detail on the quarter and the year, along with more specifics on our initial view for fiscal 2024 and Q1.

Thank you for joining us today. And now, Bob, over to you.

Bob McMahon

Thanks Mike, and good afternoon, everyone. In my remarks today, I will provide some additional details on revenue in the quarter and the year, as well as take you through the income statement and other key financial metrics. I'll then finish up with our guidance for fiscal year 2024 and the first quarter. Unless otherwise noted, my remarks will focus on non-GAAP results.

Agilent finished the fourth quarter with core growth at the top end of guidance and EPS exceeding our expectations as we executed well against challenging macroeconomic conditions.

Q4 revenue was 1.69 billion dollars, down 9.7 percent core and 8.7 percent on a reported basis. This is after growing 17.5 percent in Q4 last year, when we benefitted from the recovery from the Shanghai shutdown in Q2 of last year. This created an estimated 1 point of headwind in the year-on-year results this quarter.

As expected, we saw weakness in capital purchases in LSAG with the biggest impact in our China business.

Now, I'd like to share additional detail on our end markets for the quarter.

Revenue in our largest market **pharma**, declined 14 percent, versus 20 percent growth in Q4 last year. BioPharma declined 2 percent while small molecule was down 23 percent. However, biopharma ex-China was up 7 percent in the quarter and grew solidly for the year. And while small molecule was down, the decline was most pronounced in China. And outside China, small molecule was up sequentially in the quarter.

Chemicals and advanced materials declined 11 percent versus growth of 27 percent last year, while flat sequentially. Our chemicals and energy subsegments were down 15 percent while advanced materials were down roughly 2 percent globally and up 4 percent in the Americas and Europe combined.

The **food** market was down low double digits against a tough 20 percent growth comparison last year. High single digit growth in the Americas was offset by declines in all other regions. In the Americas, PFAS testing is emerging as an important growth area in food testing, helping drive the high single digit growth. We expect testing for PFAS chemicals will continue to be a growth driver across multiple end markets over time.

The **environmental and forensics** market declined 3 percent versus 18 percent growth last year. Similar to the food market, the Americas region continues to experience strong growth, up double digits driven by PFAS. This strong performance was primarily offset by softness in China, which was down year-on-year, but up slightly on a sequential basis.

Our business in the **diagnostics and clinical** market declined 4 percent. While we delivered low double-digit growth in our pathology-related businesses, it was more than offset by continued weakness in genomics.

The **academia and government** market was down low single digits with strength in the Americas driven by government funding offset by weakness in China and Europe.

Results were pressured across all geographies in the quarter. As Mike mentioned, China was down 31 percent year-on-year after growing 44 percent in Q4 of last year, in line with our expectations coming into the quarter. The rest of Asia was down mid-single digits and both the Americas and Europe declined low single digits in the quarter.

Before turning to the rest of the P&L, I'd like to quickly summarize some full year highlights by end market and geography.

From an end market perspective, all markets grew low to mid-single digits for the year except for pharma, which was down 2 percent globally. In addition, all geographies grew, except China which was down 5 percent.

Back to the P&L for the quarter.

Despite the revenue declines, our team continues to execute at a very high level. Fourth quarter gross margin was 55.8 percent, and our operating margin was a healthy 27.8 percent in Q4, which was slightly better than our internal expectations.

Below the line, we benefitted from stronger than expected cash flow generating incremental interest income in the quarter. Our tax rate was 13.75 percent and we had 293 million diluted shares outstanding, both as expected.

Putting it all together, earnings per share were \$1.38 for the quarter, exceeding our expectations, albeit down 10 percent from a year ago when EPS grew 26 percent.

As Mike mentioned, our Q4 results capped a year where we grew 1.5 percent core on the topline, increased operating margins by 30 basis points and grew EPS by 4 percent, while overcoming a couple of points of currency headwinds. This is a real statement on the team's ability to quickly adapt to market changes while still delivering leveraged earnings growth.

Turning to cash flow and the balance sheet, I'm incredibly proud of the Agilent team as Q4 continued a string of very strong quarterly cash flow results. In Q4, we generated operating cash flow of 516 million dollars, well over 100 percent of adjusted net income, and invested 84 million dollars in capital expenditures. CapEx spending is driven by our ongoing NASD capacity expansion, which remains on track.

For the year, we delivered 1.5 billion dollars in free cash flow, an increase of 44 percent over last year. Our balance sheet continues to remain healthy as we end the fiscal year with a net leverage ratio of 0.6 times.

With the current challenges in the market, it is great to be a company with a fortress balance sheet and strong cash flow.

In the quarter, we paid out 66 million dollars in dividends and spent 80 million dollars to repurchase shares.

And for the year, we returned 840 million dollars to shareholders through 265 million dollars in dividends and 575 million dollars in share repurchases.

Looking forward, you may have also seen that we recently announced a 5 percent increase in our quarterly dividend providing another source of value to our shareholders. It's worth noting that we have increased our dividend every year since we first began issuing them in 2012.

Now, let's move on to our outlook for the upcoming fiscal year and first quarter.

As Mike stated, we expect to see a slow but steady recovery throughout fiscal 2024. However, we also acknowledge the continued market uncertainty, high interest rates, volatile exchange rates and depressed capital spending. Like several of our peers, we expect the markets to be down slightly for the year, while we expect to perform better.

Given the expected slower market conditions, we have taken additional steps to adjust our cost structure. Incorporated into our guidance is roughly 175 million dollars of cost savings.

Given the significance, I want to provide a little more detail on these actions. Roughly 30 percent of the savings are related to portfolio optimization decisions we have taken in DGG, the largest of which was the exit of the Resolution Biosciences business. Another 25 percent is related to materials and logistics cost savings as well as optimizing our real estate footprint, with the remaining savings tied to continued reductions in discretionary spend and optimizing our workforce.

Along with these actions, we have taken a 46 million dollar charge for restructuring and other related costs in our Q4 GAAP results.

These reductions, while difficult, are necessary to ensure we continue to fund our most critical investments as well as fund the variable compensation resets from this year. These actions help ensure the company delivers leveraged earnings growth in FY24 and will enable us to emerge even stronger when our markets inevitably return to their long-term growth rates.

As Mike noted earlier, we exited Q4 with some potential signs of stabilization with a book to bill ratio of 1 for the company and greater than 1 for LSAG instruments.

While this is positive, we are going to be prudent in our initial guidance.

For the full year guide, we expect revenue in the range of 6.71 to 6.81 billion dollars. This represents a core growth range from a slight decline of 0.5 percent at the low end to 1 point of growth at the high end. Currency is a headwind of 1.2 points while M&A is also a slight headwind of 10 basis points related to Resolution Bioscience.

On a reported basis, we are expecting a decline in the range of 1.8 percent to 0.3 percent year-on-year. From a geographic perspective, we expect modest growth in the Americas and Europe. While we expect to see recovery during the year in China, our initial view is it will still decline for the full year.

From a business group perspective, we expect growth in both DGG and ACG, while LSAG instruments will still be pressured.

In terms of phasing, we expect the first half of FY24 to look similar to the second half of FY23, with growth in the second half of next year.

We are projecting modest operating margin expansion for the year.

Below the line, we expect interest income and expense to offset each other, a tax rate of 13.5 percent, and 293 million shares outstanding.

Fiscal 2024 non-GAAP EPS is expected to be in the range of \$5.44 to \$5.55. This range represents flat to 2 percent growth versus FY23.

From a cash flow perspective, we expect another robust year. We are expecting roughly 1.6 billion dollars in operating cash flow and 400 million dollars in CapEx as spending increases on NASD Train C and D expansions.

Looking to Q1 2024, we expect revenue in the range of 1.555 to 1.605 billion dollars. This represents a core decline of 11.3 percent to 8.5 percent with currency and M&A having a minimal impact. At the midpoint, we are expecting growth that resembles what we just delivered in Q4 and assumes no significant budget flush during the end of this calendar year. This is against another difficult comp of 10 percent growth in Q1 of last year.

First quarter 2024 non-GAAP earnings per share are expected to be between \$1.20 and \$1.23 as the cost savings fully ramp through the quarter.

As Mike indicated, while we are expecting low growth in 2024, we remain optimistic about the future of our markets and our long-term prospects. Our business remains

very profitable and healthy, and I know we will come out stronger as a company when market growth returns.

#